

Public Finance

Course Objectives

This course in public finance has two major sections, public sector expenditure and public sector revenue. The participants will understand the sources of revenues and types of expenditures of government. This course will thus develop an understanding of government budget making and analysis.

Course Contents

1. Introduction

Government at a glance; let's have a look at the recent budget to see what government does; but this is not all other than the budget government decision making. Government in the household's consumption basket, government in the firm's consumption basket, Classical on government.

2. Efficiency Conditions and Social welfare maximization

Consumption efficiency conditions, How to attain Pareto efficiency

- -market mechanism
- -centered decision making
- Pareto efficiency with and without social welfare maximization

3. Public Sector Expenditures

- Classification of public expenditure
- Growth of public expenditures
- Public expenditures in Pakistan

4. Economic Effects of Public Expenditures

- -Effects on production
- -Effects on distribution
- -Other effects

5. Introduction to the Basic Concepts of Taxation

Direct and indirect taxes, personal and income taxes, taxes in the circular flow, taxes in the national income accounts, buoyancy and elasticity of the tax base.

6-Tax Incidence

Statutory and economic tax incidence, backward and forward shifting of taxes, incidence of a sales tax in context of different market structure in the short run and in the long run. Incidence of a profit tax in the short run and in the long run. Taxation system in Pakistan

Recommended Books

1. Hyman, D. (2014). *Public Finance: A Contemporary Application of Theory to Policy*. Eleventh Edition. CENGAGE Learning.

2. Rosen, Harvey, S. (2005). Public Finance. 7th edition. McGraw-Hill.
3. Bailey, Stephen J. Strategic (2004). Public Finance. Palgrave Macmillan.

Note: 1. Duration of course will be 10 weeks.
2. Total 10 lectures of two hours duration will be delivered.
3. Class time will be from 7:00 pm to 9:00 pm, once a week.
4. Atleast 75% attendance is required to get a certificate.
4.